1. The Marketing Mix: Product

1.1. Marketing Mix

- The 4P's include:
  - **Product** – existing product/newly developed product. Includes packaging, quality, features of the product
  - **Price** – amount customers pay
  - **Place** – how the product is distributed
  - **Promotion** – informing customers about the product and persuading them to buy it
- Important for the 4 P's to be integrated in order to achieve the aims

1.2. Why is product a key part of the marketing mix?

- In order to be able to build relations and establish brand loyalty, the product must be right.
- This includes the quality, durability, performance and appearance
- Customer expectations must be met in terms of these factors

1.3. What is meant by 'product'?

- This includes both consumer and industrial goods and services
- The dynamic market makes the New Product Development (NPD) process a crucial part of the business's success
- NPD is based on market research in attempt to satisfy customer needs
- It is expensive and may not be successful

Unique selling point

- Features that differentiate a product from its competitors
- Benefits of having a USP –
  - Effective promotion
  - Free publicity
  - Chance to charge high prices
  - Higher sales
  - Brand loyalty

1.4. Products and brands

- Product is a general term used to describe what is being sold
- Brand is a distinguishing name given to the product, helping establish a USP
- It can help create a powerful perception in consumer minds – positive or negative

Tangible and intangible attributes

- Meeting the intangible expectations/needs of a customer is achieved through effective branding
- These are subjective to customer opinions and can't be measured or compared

1.5. Product positioning

- Before launching a product, the firm will try to analyse its relationship with other competitor products in the market – product positioning
- One method – market mapping
  - Identify features that consumers deem important
  - Plotting it on a comparison chart

1.6. Uses of PLC

- Assisting with marketing mix decisions
  - Knowing the stage of PLC helps decide the marketing mix of a product (all 4P's)
  - Every marketing aspect is changed with a change in the stage of PLC
  - But the final decisions even depend on competitor actions, economic state, marketing objectives
- Identifying how cash flow might depend on PLC
  - Every business requires cash flow in order to be successful
  - At the development and decline stage, cash flow is likely to be negative
  - This may even continue into the introduction stage as promotional expenses will be huge
  - But, in the growth and maturity stage, cash flow is likely to improve and become positive
  - Therefore, knowing about the PLC stages of different products, allows a business to plan for its next project and see its effect on cash flow
- Identifying the need for a balanced product portfolio
  - As one product is in the decline stage, the next product is ready to be launched.
  - This allows cash flow to remain balanced throughout as positive cash flows of products in the growth and maturity stage may offset the negative losses by products in decline and development phases.

1.7. Product life cycle

- The stages a product goes through from its development to its decline
- Product portfolio analysis involves making decisions about how to allocate resources effectively between the range of products. PLC is one form to do so.

Stages of PLC

- Introduction
  - Low sales
  - Increase slowly
- Growth
  - Significant growth in sales
  - Few competitors start entering the market
- Maturity/saturation
  - Sales remain constant
  - Many competitors are in the market
- Decline
  - Sales fall rapidly
  - May occur due to changes in technology, tastes, etc

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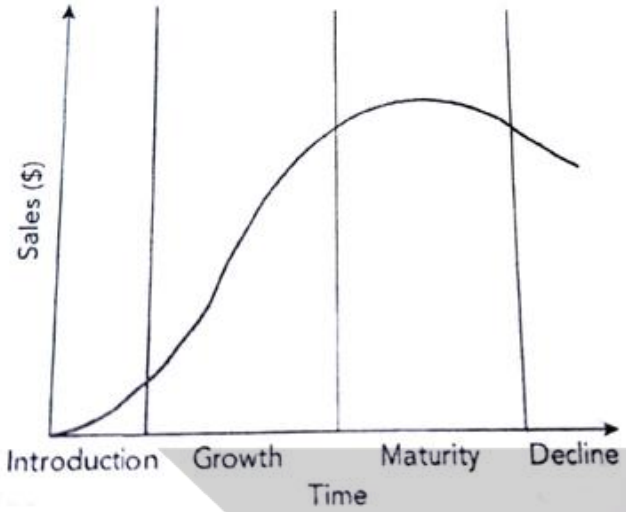
Product Life Cycle Graph:



Extension strategies

- Strategies used to extend the maturity stage of the PLC
- Examples –
  - Selling in new markets
  - Repackaging and relaunching
  - Finding new uses
  - Sales promotion techniques
  - Adding new features
  - Finding new markets

Marketing Mix and Phases of PLC:

Product Life Cycle Stage	Price	Promotion	Distribution	Produ
Introduction	• Price may be high (skimming) or low (penetration) compared to competitors.	• High levels of advertising are needed to inform consumers about the product.	• Distributed in limited outlets, possibly high-end stores if skimming is used.	• Basic with varia
Growth	• If successful, prices might increase after initial low pricing.	• Encourage repeat purchases and build brand loyalty through promotion.	• Available in more outlets where demand is strong.	• Proc improv to k cons inte
Maturity	• Prices need to stay competitive as more competitors enter the market.	• Focus on branding to highlight differences from competitors.	• Wide distribution including new channels.	• New m colour acces introdu par proc exten
Decline	• Prices may drop to clear out inventory, but could rise if there's a niche market.	• Limited advertising, mainly to inform about lower prices.	• Unprofitable outlets are phased out.	• Slo withdr produ prepa new p laun

1.8. PLC – evaluation

- PLC is an important part of the marketing audit and helps in assessing the marketing departments position
- But it is based on past and present data, which may not be necessarily true for future predictions
- Plus, there might be a rapid and quick change in sales, not giving enough time for the marketing department to implement a strategy to offset such a change
- In order to be effective, PLC analysis must be used in relation with sales forecasts and management experiences.

Product portfolio analysis – evaluation

- Having a balanced and managed portfolio allows marketing objectives to be met easily
- But product is only one part of the marketing mix, and the other 3 P's – price, place and promotion are also essential in achieving success of the business
- But without a well-managed product portfolio, the other 3 P's may not be in use and the objectives may not, ever, be met

1.9. Boston Matrix Analysis:

A method of analysing the product portfolio of a business in terms of market share and market growth.

It consists of:

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- Star: High market share, High market growth. It is highly successful in a growing market. However, to maintain its market position, it needs high promotion costs. Therefore, the business needs to invest heavily to sustain growth and profitability.
- Cash Cow: High market share, Low market growth. It is established and profitable with high cash flow and requires low promotional costs due to strong brand awareness. Due to this, the business mostly needs to maintain it and use the profits to support other products.
- Question Mark: Low market share, High Market growth. It requires significant investment and promotion as it has an uncertain future. These includes evaluating quickly and consider redesign, rebranding, or even withdrawal from market if sales fail to improve.
- Dog: Low market share, Low market growth. It has little return or future potential, considering weak sales and cash flow. Therefore, the business should consider replacing or withdrawing such products from the market.

The image shows how to represent it graphically:

Impact of Boston Matrix Analysis on Marketing Decisions:

The Boston Matrix helps in:

- Evaluating Products: Understanding how well current products are performing and their market position.
- Planning Actions: Deciding what to do with existing products and how to introduce new ones.

How to make marketing Decisions Based on the Matrix:

- Building Question Marks: Invest in advertising or expand distribution for products with potential but currently low market share. Use profits from successful products (cash cows) to fund this.
- Holding position of Stars: Keep supporting high-performing products to ensure they stay successful and continue to grow.
- Milking Cash Cows: Use the profits from successful, established products to fund other products or initiatives.
- Divest: Consider stopping production of underperforming products. This decision involves considering impacts on the workforce and how to use any freed-up resources effectively.

These strategies work well with a balanced product portfolio. Too many poorly performing products can limit the firm's ability to invest and grow.

Limitations of the Boston Matrix:

- It cannot predict future product performance. Therefore, continuous market research is needed to understand future trends which is costly.
- Managers must consider the impact of competitors, technological changes, and economic conditions, which the Matrix does not account for.
- The Boston Matrix is a planning tool. It oversimplifies the factors affecting product potential success and may not capture all complexities.
- It assumes higher market share leads to higher profits, but this isn't always true if profits are reduced by low prices.

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